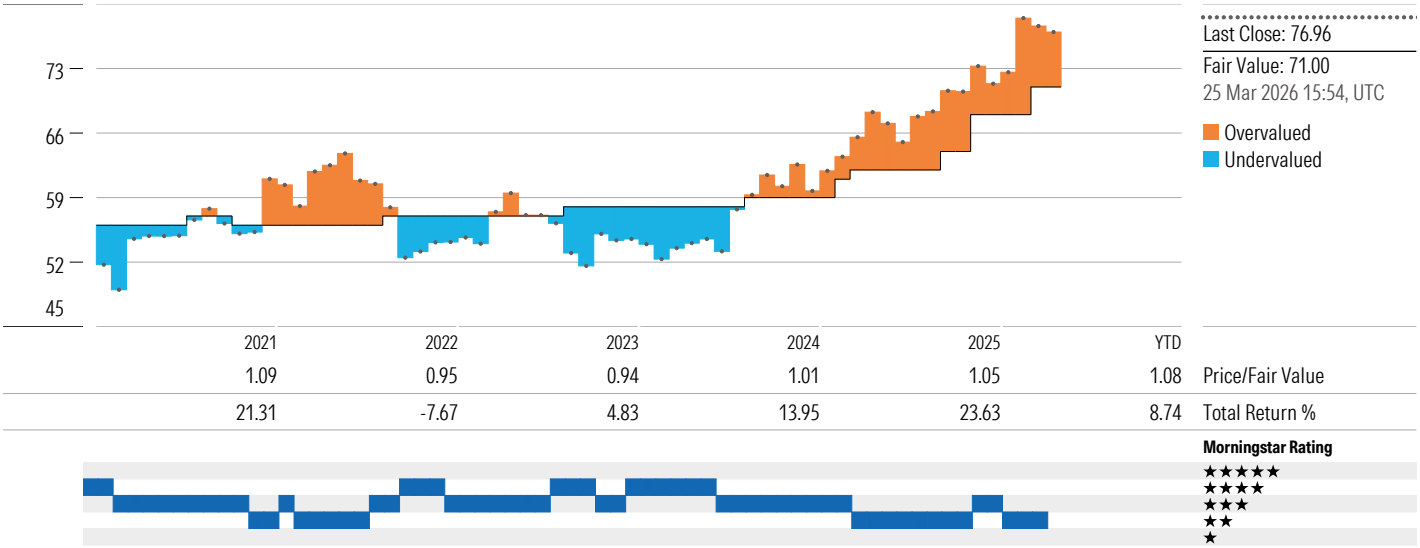
Fortis Inc FTS ★★ 20 Apr 2026 23:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
76.96 CAD 20 Apr 2026	71.00 CAD 25 Mar 2026 20:54, UTC	1.08	39.08 CAD Bil 21 Apr 2026	Narrow	Large Value	Low	Standard	18 Apr 2026 05:00, UTC

Price vs. Fair Value



	2021	2022	2023	2024	2025	YTD	
	1.09	0.95	0.94	1.01	1.05	1.08	Price/Fair Value
	21.31	-7.67	4.83	13.95	23.63	8.74	Total Return %

Morningstar Rating

★★★★★
★★★★
★★★
★★
★

Total Return % as of 20 Apr 2026. Last Close as of 20 Apr 2026. Fair Value as of 25 Mar 2026 15:54, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Fortis: MISO Long-Term Load Forecast Highlights Long Runway of Growth Opportunities for ITC

Analyst Note Andrew Bischof, CFA, Senior Equity Analyst, 21 Apr 2026

The Midcontinent Independent System Operator, or MISO, recently released its updated Long-Term Load Forecasting Results, which included a large increase in its forecast driven by higher data center and manufacturing demand.

Why it matters: MISO now forecasts 2.0% annualized growth in electricity demand through 2046 in its base scenario. This was MISO's high-growth scenario in its 2024 forecast. It is now 3% annualized.

- MISO expects data center electricity demand to grow 18% annually through 2046. Their forecast shows data center demand nearly doubling by 2030, then moderating to 6% annually post 2030. Manufacturing demand is forecast to grow 3.5%, well above historical levels, driven by continued manufacturing onshoring. Slower electric vehicle demand growth partially offset the higher industrial forecast.
- Residential and commercial segments, which make up 62% of the region's demand, are expected to grow at a moderate 0.4% annually, as underlying population growth is tempered by continued energy efficiency.

The bottom line: We are maintaining our CAD 71 fair value estimate for Fortis. Our narrow moat remains unchanged.

- Fortis trades at an 8% premium to our fair value estimate, in line with our view of the utilities sector

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Sector Utilities

Industry Utilities - Regulated Electric

Business Description

Fortis owns and operates eight utility transmission and distribution subsidiaries in Canada and the United States, serving 3.5 million electricity and gas customers. The company has smaller stakes in electricity generation and several Caribbean utilities. Subsidiary ITC operates electric transmission in seven US states, with more than 16,000 miles of high-voltage transmission lines in operation.

valuation, as of April 21.

Long view: Fortis' CAD 28.8 billion five-year capital investment plan supports 7% rate base growth and our 6.5% earnings growth estimate.

- Fortis' subsidiary ITC, which operates transmission assets throughout MISO, remains the largest growth driver for Fortis, with 8% rate base growth.
- Post-2030 growth remains robust at ITC. ITC has already been awarded more than USD 7 billion in transmission projects, primarily through rights of refusal in Michigan and Minnesota. We think it's likely ITC will be awarded additional projects, further supporting long-term growth

Coming up: We expect management to update its outlook for transmission growth opportunities when it reports earnings on May 6.

Business Strategy & Outlook Andrew Bischof, CFA, Senior Equity Analyst, 25 Mar 2026

Fortis manages regulated electric and gas utilities and independent transmission assets across the US and Canada.

Its prized asset in the US is ITC Holdings, which gives Fortis an opportunity to benefit from a long runway of US transmission investment opportunities from aging infrastructure to supporting renewable energy growth. Regulatory treatment is constructive, with ITC's allowed returns on equity higher than state-allowed returns and forward-looking ratemaking reducing regulatory lag.

Across its Midwest footprint, ITC remains well positioned to benefit from significant transmission needs. Grid operator MISO's Tranche 2.1 approved $21.8 billion of projects, a significant increase from prior expectations.

ITC expects to receive $3.7 billion-$4.2 billion of these projects, with most of the investment beyond 2030. Additional transmission projects are expected in states where ITC has the right of first refusal, highlighting ITC's significant long-term investment potential.

UNS Energy offers faster growth than its US peers thanks to the area's population growth and transition to cleaner generation. Arizona regulation has significantly improved in the past couple of years, with improved allowed returns and annual formulaic rate adjustments, which we view as highly constructive.

At CH Energy, New York can be a challenging regulatory environment, which could pressure returns; however, management has proved adept at navigating regulatory relationships. The New York regulatory environment has slowly improved.

Fortis' main regulated Canadian operations are in British Columbia, Alberta, and Newfoundland. These

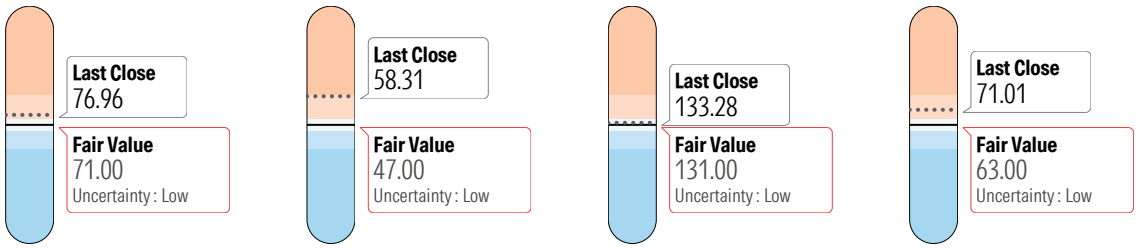
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Competitors



	Fortis Inc FTS	Hydro One Ltd H	American Electric Power Co Inc AEP	Emera Inc EMA
Economic Moat	Narrow	None	Narrow	Narrow
Currency	CAD	CAD	USD	CAD
Fair Value	71.00 25 Mar 2026 15:54, UTC	47.00 5 Mar 2026 22:44, UTC	131.00 12 Feb 2026 16:01, UTC	63.00 7 Apr 2026 20:02, UTC
1-Star Price	88.75	58.75	163.75	78.75
5-Star Price	56.80	37.60	104.80	50.40
Assessment	Overvalued 20 Apr 2026	Overvalued 20 Apr 2026	Fairly Valued 20 Apr 2026	Overvalued 20 Apr 2026
Morningstar Rating	★★20 Apr 2026 23:44, UTC	★★20 Apr 2026 23:42, UTC	★★★20 Apr 2026 22:41, UTC	★★20 Apr 2026 23:41, UTC
Analyst	Andrew Bischof, Senior Equity Analyst	Andrew Bischof, Senior Equity Analyst	Andrew Bischof, Senior Equity Analyst	Andrew Bischof, Senior Equity Analyst
Capital Allocation	Standard	Standard	Standard	Standard
Price/Fair Value	1.08	1.24	1.02	1.13
Price/Sales	3.19	3.87	3.27	2.42
Price/Book	1.76	2.77	2.32	1.79
Price/Earning	22.94	23.87	21.03	20.35
Dividend Yield	3.26%	2.29%	2.82%	4.11%
Market Cap	39.18 Bil	34.97 Bil	72.45 Bil	21.71 Bil
52-Week Range	63.54—80.69	47.54—60.46	97.46—137.74	59.02—74.80
Investment Style	Large Value	Large Blend	Mid Blend	Mid Value

relatively low-risk operations result in stable earnings and help fund consistent dividend growth. Returns are lower in Canada because of a lower cost of capital from a lower equity component compared with its US counterparts.

Management has continued to execute on numerous capital investment growth opportunities, which should support more than 7.0% annual rate base growth over the next five years. We expect the company to invest over CAD 29 billion through 2030, supporting our 6.5% annual earnings growth outlook.

Bulls Say Andrew Bischof, CFA, Senior Equity Analyst, 25 Mar 2026

- Fortis operates a stable business profile of regulated operations, offering a strong base for consistent earnings and dividend growth.
- With Fortis' capital expenditure plan in the coming years, we forecast earnings will grow 6.5% annually

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through 2030.

- Fortis has paid consecutive quarterly dividends for more than four decades.

Bears Say Andrew Bischof, CFA, Senior Equity Analyst, 25 Mar 2026

- The Canadian regulatory environment offers lower allowed returns than in the US.
- Management's previous zeal for US diversification increases the risk that the company will overpay for acquisitions, though management has recently wisely set its focus on executing on its attractive internal growth opportunities.
- As with all regulated utilities, rising interest rates will raise financing costs and could make the dividend less attractive for income investors.

Economic Moat Andrew Bischof, CFA, Senior Equity Analyst, 4 Sep 2025

We assign Fortis a narrow moat, with earnings from narrow-moat regulated gas and electric assets and wide-moat ITC.

For the regulated gas and electric operations, service territory monopolies and efficient scale advantages are the primary sources of an economic moat. Regulators typically grant regulated utilities exclusive rights to charge customers rates that allow the utilities to earn a fair return on and return of the capital they invest to build, operate, and maintain their distribution networks. In exchange for regulated utilities' service territory monopolies, regulators set returns at levels that aim to minimize customer costs while offering fair returns for capital providers.

This implicit contract between regulators and capital providers should, on balance, allow regulated utilities to achieve at least their costs of capital, though observable returns might vary in the short run based on demand trends, investment cycles, operating costs, and access to financing. Intuitively, utilities should have an economic moat based on efficient scale, but in some cases regulation offsets this advantage, preventing excess returns on capital.

The risk of adverse regulatory decisions precludes regulated utilities from earning wide economic moat ratings. However, the threat of material value destruction is low, and normalized returns exceed costs of capital in most cases, leaving us comfortable assigning narrow moats to many regulated utilities.

We believe ITC's efficient scale competitive advantage gives it a moat. Competitors have little incentive to build competing transmission lines if one that ITC owns already is serving a market's full capacity. Capital costs for new transmission lines are too high and incremental benefits too low to offer sufficient returns on invested capital for two competing transmission owners. In addition, ITC benefits from regulatory protection. The Federal Energy Regulatory Commission approves new transmission lines only if there is a demonstrated need for new capacity.

In exchange for regulatory protection, ITC must charge rates based on a formula that allows ITC to

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recover its expenses and earn a return on investment. The formula rate mechanism considers forecast expenses, investment base, revenue, and network load each year, and then adjusts annually to true up ITC's returns. This rate treatment is more investor-friendly than typical backward-looking rates that require a utility to invest the capital before collecting a return on that capital. We believe the transparency and predictability of the formula rate mechanism results in a below-average cost of capital for ITC and supports stable cash returns.

Fair Value and Profit Drivers Andrew Bischof, CFA, Senior Equity Analyst, 25 Mar 2026

Our fair value estimate is CAD 71 per share after incorporating year-to-date financials and regulatory updates.

We assume consistent regulatory treatment at the Canadian and US utilities. We forecast over CAD 29 billion of total capital investment at the regulated gas and electric utilities through 2030.

Our utility earnings growth estimate relies on continued customer growth and execution of Fortis' capital investment program. On a consolidated basis, we forecast 6.5% annual earnings growth and 6% annual dividend growth during the next five years.

In our discounted cash flow valuation, we use a 6.0% cost of capital based on a 7.5% cost of equity. This is lower than the 9% rate of return we expect investors will demand for a diversified equity portfolio, reflecting Fortis' lesser sensitivity to the economic cycle and lower degree of operating leverage.

Risk and Uncertainty Andrew Bischof, CFA, Senior Equity Analyst, 25 Mar 2026

We give Fortis a Morningstar Uncertainty Rating of Low.

Fortis' key risk to future earnings is regulatory uncertainty. The company faces regulatory risks that create uncertainties around costs and allowed returns, especially given the significant capital expenditure plan through 2030.

A recent rate case outcome eases regulatory concerns in Arizona. The subsidiary received a 9.75% allowed return on equity, which is more in line with its peers and represents a significant improvement from a 2022 regulatory ruling affecting peer, Arizona Public Service. The allowance of annual formulaic rate adjustments should allow the utility to reduce regulatory lag.

We believe the FERC's formula rate-setting methodology is the most stable and least subject to political influence of any utility regulation in the US. The FERC has proposed eliminating some ROE incentives currently given to regional transmission organization members, like ITC, which could lower allowed returns on future projects.

Fortis faces environmental, social, and governance risk, although we consider its risk lower than its peers' since less than 5% of Fortis' assets are fossil fuel. Across its service territories, regulators and

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politicians are embracing tighter policies on carbon emissions and greater restrictions on coal generation.

As with all regulated utilities, Fortis faces the risk of an inflationary environment that would raise borrowing costs and make other investments more attractive for income-seeking investors.

Capital Allocation Andrew Bischof, CFA, Senior Equity Analyst, 25 Mar 2026

We assign Fortis a Standard Morningstar Capital Allocation Rating. The rating reflects our assessment of Fortis' balance sheet strength, management's investment decisions, and plans to return capital to shareholders.

We forecast Fortis will gradually reduce its dividend payout ratio to approximately 70% by the end of our five-year outlook, a level we view as appropriate and in line with its Canadian peers given the high quality and relatively stable nature of Fortis' regulated assets. We expect the balance sheet to remain strong, in line with its regulatory requirements and supported by the company's low revenue cyclicality and operating leverage. We expect the company's investment strategy to focus on growing through investments in regulated assets, which we think is a reasonable approach.

Management had a history of dealmaking in the US. Still, we think Fortis' shareholders are better off as management focuses on reinvesting capital in the company's long list of internal growth opportunities and increasing the dividend through 2030. We continue to be impressed by management's execution of its capital investment plan and ability to identify new investment opportunities. Management's good regulatory relationships have allowed it to earn at or near its allowed returns.

David Hutchens became CEO in 2021. We like that he has focused on executing on the company's long line of internal growth opportunities rather than exploring acquisition opportunities.

Analyst Notes Archive

Fortis Earnings: Strong 2025 Positions Company Well for 2026 Andrew Bischof, CFA,Senior Equity Analyst,12 Feb 2026

Fortis reported full-year operating earnings of CAD 3.53 per share, up from CAD 3.28 in 2024 and in line with our expectations.Why it matters: New customer rates at CH Energy, regulated investments, strong underlying electricity demand, and favorable foreign exchange supported earnings. Management maintained its 4%-6% annual dividend growth target through 2030, in line with our expectations. Fortis does not provide earnings guidance.The bottom line: We are maintaining our CAD 68 fair value estimate. Our Narrow Morningstar Economic Moat Rating is unchanged. Fortis trades at a 13% premium to our fair value estimate, compared with a 7% premium for the utilities sector. Fortis' 22% trailing 12-month return, including dividends, has outperformed the Morningstar US Utilities Index's 19% return over the same period.Long view: Fortis' CAD 28.8 billion five-year capital investment plan

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supports 7% annual rate base growth. There remains upside to the current capital investment plan, with strong retail growth at UNS Energy driven by data center demand, Tilbury liquefied natural gas storage and expansion at FortisBC, and additional customer connections at ITC. Post-2030 growth looks to remain robust, particularly at ITC. ITC has been awarded more than USD 7 billion of transmission projects in the central US as part of the electric grid operators' LRTP Tranche 2.1. This is mainly through rights of refusal in Michigan and Minnesota. We think it's likely that ITC will be awarded additional LRTP projects.Coming up: Fortis' rate cases at UNS and Tucson Electric Power continue to progress. We expect allowed returns on equity in line with the staff's 9.75% return on equity recommendation and support for formulaic rates, the first time these have been allowed in Arizona. Orders are expected later this year. We continue to expect outcomes in Arizona to reflect the state's improved regulatory environment.

Fortis Earnings: Step-Up in Capital Investment Driven by ITC Andrew Bischof, CFA,Senior Equity Analyst,5 Nov 2025

Fortis reported third-quarter operating earnings per share of CAD 0.87, up from CAD 0.85 in the year-ago quarter, putting the company on track to meet our full-year expectations.Why it matters: Year-to-date earnings were up 7% from the same year-ago period. New rates, investments, electricity demand, and favorable foreign exchange supported earnings. Partially offsetting these benefits were the disposition of FortisTCI and a higher number of shares outstanding. Management extended its 4%-6% annual dividend growth outlook through 2030, in line with our expectations. Fortis does not provide earnings guidance. Divesting FortisTCI and Belize now makes Fortis a fully regulated utility, which we view positively and in shareholders' best interest.The bottom line: We have increased our fair value estimate to CAD 68 per share from CAD 64 after incorporating additional growth capital investments. Our narrow moat rating is unchanged. Fortis trades at a 5% premium to our new fair value estimate. We forecast an average of 7% of earnings growth through our five-year forecast period.Long view: Fortis increased its capital investment plan by CAD 2.8 billion, to CAD 28.8 billion, supporting consolidated 7.0% rate base growth, up from the prior 6.5% rate base growth. ITC is the driver of the capital investment increase. Fortis identified more than CAD 2.0 billion of additional investments to support MISO's long-range transmission planning investments, new interconnections, and reliability projects. At UNS Energy, capital investment is flat. Higher transmission and distribution investments were mostly offset by the decision to invest in coal-to-natural gas conversion rather than new natural gas generation previously planned. Investments for data center growth could add USD 2.0 billion to the plan. We assume an additional USD 1.0 billion in our forecast.

Fortis Earnings: Upcoming Regulatory Outcomes to Support Fortis' Growth Andrew Bischof, CFA,Senior Equity Analyst,1 Aug 2025

Fortis' second-quarter operating earnings per share of CAD 0.76, up from CAD 0.67 in the same year-ago

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earnings, put the company on track to meet our full-year expectations. Why it matters: Fortis' regulated operations supported another strong quarter, putting year-to-date earnings up 10%. New rates, increased investments, electricity demand, and foreign exchange supported earnings. Management reaffirmed its 2025-29 dividend growth of 4%-6%, in line with our expectations. Fortis does not provide earnings guidance. Near-term foreign exchange fluctuations do not have a material effect on our fair value. The bottom line: We are maintaining our CAD 62 per share fair value estimate and narrow moat rating. Fortis trades at a 9% premium to our fair value estimate, in line with our median view of the utilities sector as of Aug. 1. We continue to expect an average of 6% earnings growth throughout our forecast period. Long view: Fortis reaffirmed its CAD 26 billion five-year capital plan, supporting our earnings estimate, which supports 6.5% rate base growth. The company is on track to invest CAD 5.2 billion this year. MISO, the Midwest transmission operator, remains an attractive investment opportunity for Fortis. Fortis expects to receive $3.7 billion-$4.2 billion in the LRTP Tranche 2.1 projects. Additional opportunities are expected in the upcoming phase 2.2 Tranche projects. Investments for connecting data centers are significant. Coming up: Fortis filed a rate case in Arizona in June. Arizona regulation has significantly improved in the past couple of years, with improved allowed returns and allowance for use of an annual formulaic rate adjustment mechanism, which we view as highly constructive. Fortis reached a constructive settlement for Central Hudson's rate case. The New York regulatory environment has improved, and the 9.5% allowed return is in line with the current peer average. A commission decision on the settlement is expected later this year.

Fortis Earnings: Upcoming Arizona Rate Case Will Be First Under Formula Ratemaking Andrew Bischof, CFA,Senior Equity Analyst,7 May 2025

Fortis' first-quarter operating earnings were CAD 1.00 per share, up from CAD 0.93 in the same year-ago quarter, putting the company on track to meet our full-year expectations. Why it matters: Fortis' regulated operations supported a 7.5% increase in earnings. New customer rates, growth investments, electricity demand growth, and favorable foreign exchange supported earnings. Management reaffirmed its 4%-6% annual dividend growth target for 2025-29, in line with our expectations. Fortis does not provide earnings guidance. The bottom line: We are maintaining our CAD 62 per share fair value estimate and narrow moat rating for Fortis. Fortis trades at a 9% premium to our fair value estimate as of May 7, in line with our median utilities sector valuation. Fortis is up 15% year to date, outperforming the Morningstar US Utilities Index. We continue to expect 6% average annual earnings growth through 2029. Long view: Fortis reaffirmed its CAD 26 billion five-year capital investment plan, supporting our earnings outlook. Fortis subsidiary ITC is in line for $3.7 billion-$4.2 billion of LRTP Tranche 2.1 projects in the Midwest transmission region. Additional growth investments could come in the next phase, Tranche 2.2. Both investment opportunities are beyond our five-year forecast period. ITC will also connect the 1.6 gigawatt Big Cedar Load Expansion Project, supporting data center growth in Iowa. An additional 5 GW of load growth from data centers and economic development across ITC's

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Fortis Inc FTS ★★ 20 Apr 2026 23:44, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
76.96 CAD 20 Apr 2026	71.00 CAD 25 Mar 2026 20:54, UTC	1.08	39.08 CAD Bil 21 Apr 2026	Narrow	Large Value	Low	Standard	18 Apr 2026 05:00, UTC

service territories are in the early stages of development. Coming up: With formula ratemaking in place in Arizona, Fortis plans to file a rate case this summer. Arizona regulation has improved in the past couple of years, and we expect a constructive outcome. Fortis is also proceeding with its rate filing at Central Hudson. The New York regulatory environment has improved, and we expect a constructive outcome as negotiations progress.

US Utilities: Tariffs Raise Questions About Cost Pass-Throughs, Electricity Demand, Interest Rates
Andrew Bischof, CFA,Senior Equity Analyst,7 Apr 2025

Utilities have limited direct exposure to the tariffs announced by the Trump administration, but falling energy demand or regulatory pushback to utilities' investment plans could slow earnings growth if economic conditions deteriorate.Why it matters: Utilities are well-insulated from higher tariff-related infrastructure costs because regulators typically allow utilities to pass along higher costs through customer bills. Higher costs and a weaker economy could lead regulators to reevaluate utilities' long-term growth plans. We estimate every 100-basis-point reduction in earnings growth would reduce our fair value estimates 3%-5%, on average. The 10-Year US Treasury yield is 132 basis points higher than the utilities' sector dividend yield as of last week. Historically, a premium this large has been a headwind for utilities. Lower interest rates could ease financing costs for utilities and make dividends more attractive for income-oriented investors.The bottom line: We are reaffirming our fair value estimates and moat ratings for all utilities. We continue to forecast more than 6% annual earnings and dividend growth sectorwide, supported by strong balance sheets. The Morningstar US Utilities Index is down 7.4% since April 2, outperforming the Morningstar US Market Index by 450 basis points. US utilities were 10% overvalued on a median basis before the market selloff, the richest the sector has been in three years. We now view utilities as 6% overvalued, with select pockets of value.Long view: We think that utilities that have either strong regulatory environments, with a clear path to growth, or underappreciated growth and improving regulatory environments offer the best value for investors. Our top utilities picks are Alliant Energy, Eversource Energy, Evergy, and NextEra Energy. Since power producers' February peaks, Vistra Energy's stock is down 51% and NRG Energy's stock is down 29% through April 4. Both still trade at premiums to our fair value estimates.

Fortis Earnings: ITC Continues To Be Best Positioned for Sizable MISO Investment Need Andrew Bischof, CFA,Senior Equity Analyst,14 Feb 2025

Fortis reported 2024 operating earnings per share of $3.28, up from $3.09 in 2023 and in line with our full-year expectations. During the year, Fortis increased the dividend 6.1%, in line with earnings growth. Why it matters: Fortis' regulated operations supported a 6% increase in earnings. Partially offsetting these benefits were higher costs and more shares outstanding. Management reaffirmed its 2025-29 dividend growth target of 4%-6%. Fortis does not provide earnings guidance. Continued good execution at the company's regulatory operations drove strong earnings. Earnings from ITC, the company's most

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important and fastest-growing subsidiary, grew 7% from capital investments. The bottom line: We are maintaining our CAD 61 fair value estimate and narrow moat rating. Fortis has a 3-star rating as of Feb. 13. We think the market appreciates Fortis' growth opportunities. We continue to expect average 6.5% earnings growth during the next five years, with earnings accelerating in the back half of our forecast. Long view: The company's CAD 26 billion five-year capital investment plan supports our earnings outlook. We think there is a potential for sizable transmission opportunities after our initial five-year forecast. Additional opportunities are materializing in MISO, the Midwest transmission zone. ITC expects USD 3.7 billion to USD 4.2 billion of capital investments in Michigan and Minnesota, where the company has right of first refusal on projects. We also think ITC will be awarded competitively bid transmission projects in Iowa. Most of this investment will occur after 2029. In Arizona, UNS is currently moving forward on 300 megawatts of additional load beginning in 2027 that would increase retail sales 20%. Coming up: Arizona regulation continues to improve. A recent plan approved by commissioners allows utilities to propose formula rates. We expect Fortis to request formula rates to reduce regulatory lag in the state.

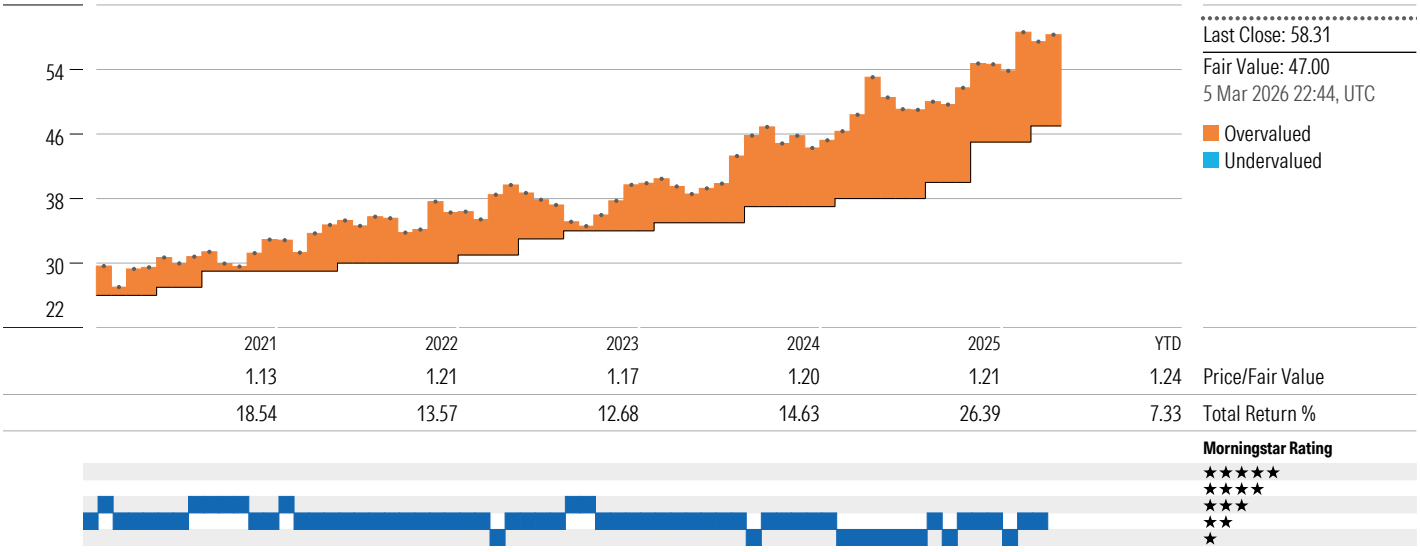
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Competitors Price vs. Fair Value

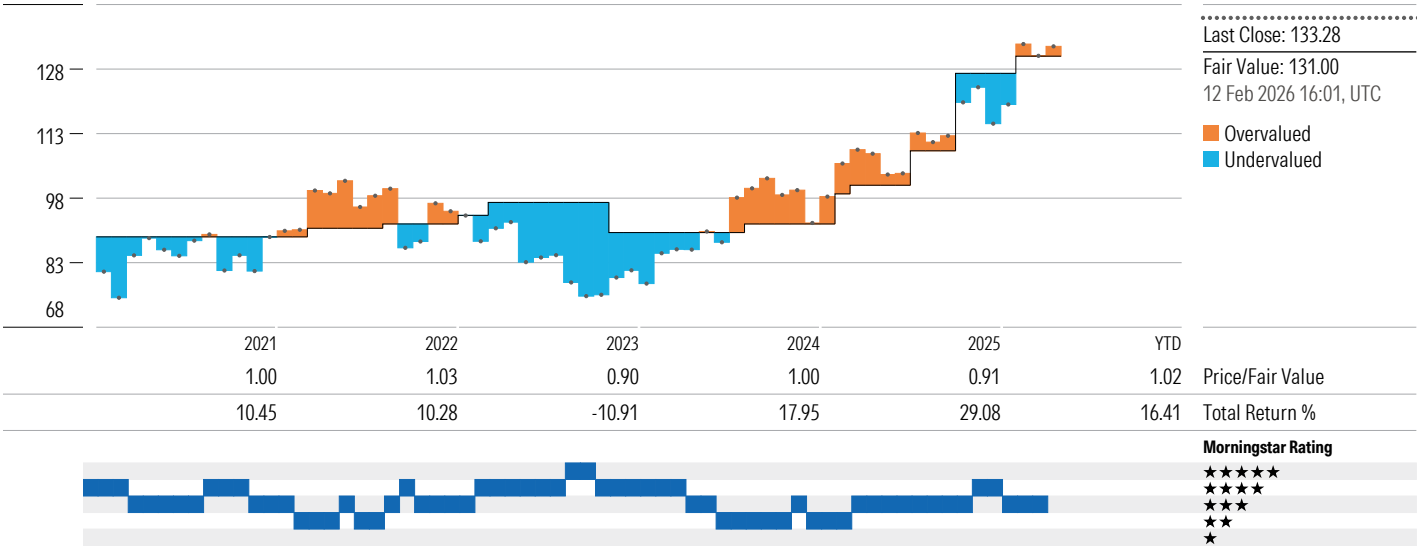
Hydro One Ltd H



	2021	2022	2023	2024	2025	YTD	
	1.13	1.21	1.17	1.20	1.21	1.24	Price/Fair Value
	18.54	13.57	12.68	14.63	26.39	7.33	Total Return %

Total Return % as of 20 Apr 2026. Last Close as of 20 Apr 2026. Fair Value as of 5 Mar 2026 22:44, UTC.

American Electric Power Co Inc AEP



	2021	2022	2023	2024	2025	YTD	
	1.00	1.03	0.90	1.00	0.91	1.02	Price/Fair Value
	10.45	10.28	-10.91	17.95	29.08	16.41	Total Return %

Total Return % as of 20 Apr 2026. Last Close as of 20 Apr 2026. Fair Value as of 12 Feb 2026 16:01, UTC.

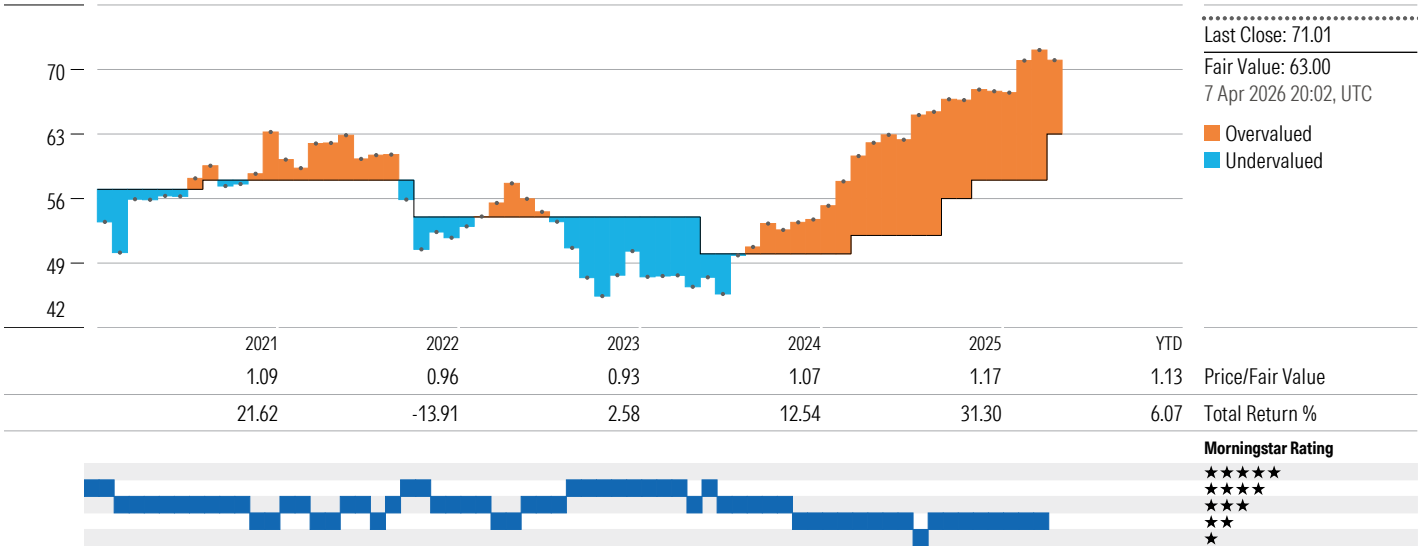
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Competitors Price vs. Fair Value

Emera Inc EMA



	2021	2022	2023	2024	2025	YTD
Price/Fair Value	1.09	0.96	0.93	1.07	1.17	1.13
Total Return %	21.62	-13.91	2.58	12.54	31.30	6.07

Total Return % as of 20 Apr 2026. Last Close as of 20 Apr 2026. Fair Value as of 7 Apr 2026 20:02, UTC.

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Morningstar Valuation Model Summary

Financials as of 24 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
Revenue (CAD Mil)	11,517	11,508	12,170	12,913	13,658	14,407	15,157	15,833
Operating Income (CAD Mil)	3,084	3,292	3,492	3,853	4,218	4,684	5,190	5,538
EBITDA (CAD Mil)	5,045	5,438	5,772	6,098	6,609	7,222	7,783	8,268
Adjusted EBITDA (CAD Mil)	5,045	5,438	5,772	6,098	6,609	7,222	7,783	8,268
Net Income (CAD Mil)	1,506	1,606	1,714	1,914	2,081	2,266	2,520	2,687
Adjusted Net Income (CAD Mil)	1,506	1,606	1,777	1,914	2,081	2,266	2,520	2,687
Free Cash Flow To The Firm (CAD Mil)	1,053	50	-445	-106	68	621	744	1,894
Weighted Average Diluted Shares Outstanding (Mil)	487	495	504	514	523	532	540	548
Earnings Per Share (Diluted) (CAD)	3.10	3.24	3.40	3.73	3.98	4.26	4.66	4.90
Adjusted Earnings Per Share (Diluted) (CAD)	3.10	3.24	3.53	3.73	3.98	4.26	4.66	4.90
Dividends Per Share (CAD)	2.31	2.41	2.51	2.66	2.82	2.99	3.18	3.39

Margins & Returns as of 24 Mar 2026		Actual			Forecast					
	3 Year Avg	2023	2024	2025	2026	2027	2028	2029	2030	5 Year Avg
Operating Margin %	29.8	26.8	28.6	28.7	29.8	30.9	32.5	34.2	35.0	32.5
EBITDA Margin %	—	43.8	47.3	47.4	47.2	48.4	50.1	51.3	52.2	—
Adjusted EBITDA Margin %	—	43.8	47.3	47.4	47.2	48.4	50.1	51.3	52.2	49.9
Net Margin %	13.7	13.1	14.0	14.1	14.8	15.2	15.7	16.6	17.0	15.9
Adjusted Net Margin %	13.9	13.1	14.0	14.6	14.8	15.2	15.7	16.6	17.0	15.9
Free Cash Flow To The Firm Margin %	2.0	9.1	0.4	-3.7	-0.8	0.5	4.3	4.9	12.0	4.2

Growth & Ratios as of 24 Mar 2026		Actual			Forecast					
	3 Year CAGR	2023	2024	2025	2026	2027	2028	2029	2030	5 Year CAGR
Revenue Growth %	3.3	4.3	-0.1	5.8	6.1	5.8	5.5	5.2	4.5	5.4
Operating Income Growth %	8.4	12.6	6.7	6.1	10.4	9.5	11.1	10.8	6.7	9.7
EBITDA Growth %	7.9	9.8	7.8	6.1	5.6	8.4	9.3	7.8	6.2	7.5
Adjusted EBITDA Growth %	7.9	9.8	7.8	6.1	5.6	8.4	9.3	7.8	6.2	7.4
Earnings Per Share Growth %	7.0	11.5	4.8	4.9	9.5	6.8	7.0	9.5	5.1	7.6
Adjusted Earnings Per Share Growth %	7.0	11.5	4.8	8.8	5.7	6.8	7.0	9.5	5.1	7.6

Valuation as of 24 Mar 2026	Actual			Forecast				
	2023	2024	2025	2026	2027	2028	2029	2030
Price/Earning	17.6	18.4	20.2	20.6	19.3	18.1	16.5	15.7
Price/Sales	2.3	2.6	3.0	3.0	2.9	2.7	2.6	2.5
Price/Book	1.2	1.2	1.5	1.6	1.5	1.5	1.4	1.4
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	11.5	11.5	12.4	12.3	11.4	10.4	9.7	9.1
EV/EBIT	18.8	19.0	20.6	19.5	17.8	16.0	14.5	13.6
Dividend Yield %	4.2	4.0	3.5	3.5	3.7	3.9	4.1	4.4
Dividend Payout %	74.6	74.3	71.2	71.4	70.9	70.2	68.2	69.1
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 24 Mar 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	2023	2024	2025	2026	2027	2028	2029	2030
ROA %	2.3	2.2	2.3	2.4	2.5	2.7	2.8	2.9
ROE %	6.5	6.2	6.6	7.0	7.2	7.4	7.7	7.8
ROIC %	5.7	5.7	5.8	6.2	6.4	6.6	7.0	7.0

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	53.0	53.1	49.0	49.5	49.2	48.8	48.8	48.8
Assets/Equity	2.8	2.8	2.9	2.9	2.8	2.8	2.8	2.7
Net Debt/EBITDA	5.8	6.2	5.9	5.9	5.8	5.5	5.3	5.1
Total Debt/EBITDA	6.0	6.2	6.0	6.0	5.8	5.5	5.4	5.3
EBITDA/ Net Interest Expense	4.2	4.1	4.2	3.9	3.9	3.7	3.6	3.6

Forecast Revisions as of 25 Mar 2026	2026		2027		2028	
Prior data as of 4 Nov 2025	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	71.00	68.23	—	—	—	—
Revenue (CAD Mil)	12,913	12,164	13,658	12,877	14,407	13,624
Operating Income (CAD Mil)	3,853	3,574	4,218	3,920	4,684	4,391
EBITDA (CAD Mil)	6,098	5,673	6,609	6,160	7,222	6,778
Net Income (CAD Mil)	1,914	1,757	2,081	1,900	2,266	2,123
Earnings Per Share (Diluted) (CAD)	3.73	3.49	3.98	3.72	4.26	4.04
Adjusted Earnings Per Share (Diluted) (CAD)	3.73	3.49	3.98	3.72	4.26	4.04
Dividends Per Share (CAD)	2.66	2.46	2.82	2.57	2.99	2.69

Key Valuation Drivers as of 24 Mar 2026

Cost of Equity %	7.5
Pre-Tax Cost of Debt %	5.5
Weighted Average Cost of Capital %	5.9
Long-Run Tax Rate %	21.0
Stage II EBI Growth Rate %	4.8
Stage II Investment Rate %	72.5
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 24 Mar 2026

	CAD Mil
Present Value Stage I	3,241
Present Value Stage II	8,917
Present Value Stage III	54,299
Total Firm Value	**66,457**
Cash and Equivalents	367
Debt	34,855
Other Adjustments	3,387
Equity Value	**35,356**
Projected Diluted Shares	504
Fair Value per Share (CAD)	**71.00**

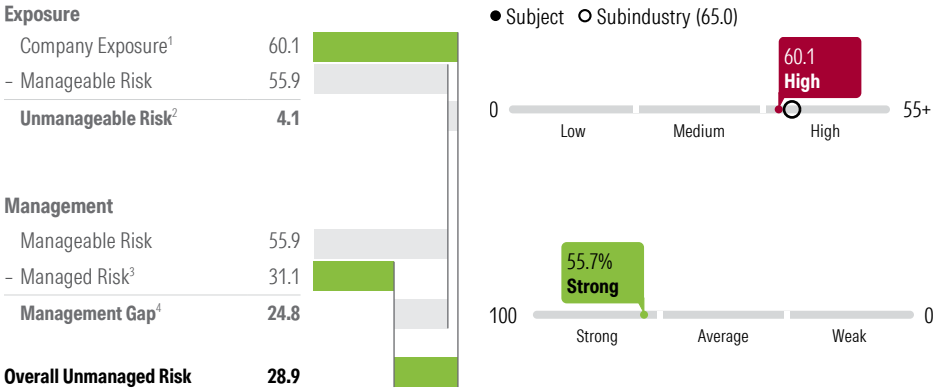
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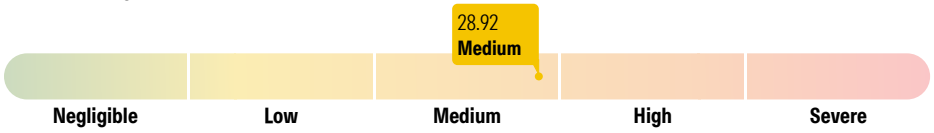
ESG Risk Rating Breakdown



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

ESG Risk Rating Assessment[5]



ESG Risk Rating is of Apr 18, 2026. Highest Controversy Level is as of Apr 08, 2026. Sustainalytics Subindustry: Multi-Utilities. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 55.7% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

Peer Analysis 18 Apr 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Fortis Inc	60.1 | High	0	55+	55.7 | Strong	100	0	28.9 | Medium	0	40+
American Electric Power Co Inc	60.2 | High	0	55+	64.6 | Strong	100	0	24.1 | Medium	0	40+
Emera Inc	66.5 | High	0	55+	59.4 | Strong	100	0	29.8 | Medium	0	40+
Portland General Electric Co	56.3 | High	0	55+	51.3 | Strong	100	0	29.4 | Medium	0	40+
Hydro One Ltd	41.9 | Medium	0	55+	62.6 | Strong	100	0	17.4 | Low	0	40+

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Appendix

Historical Morningstar Rating

Fortis Inc FTS 20 Apr 2026 23:44, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★	★★	★★	★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★	★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★★	★★★★	★★★★	★★★	★★★	★★	★★	★★	★★	★★	★★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★

Hydro One Ltd H 20 Apr 2026 23:42, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★	★★	★	★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★	★★	★	★	★	★	★	★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★★	★★★	★★	★★	★★	★★	★	★★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★★	★★★	★★★	★★	★★	★★	★★	★★	★★★	★★

American Electric Power Co Inc AEP 20 Apr 2026 22:41, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	—	★★★	★★★	★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★	★★	★★	★★	★★	★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★★	★★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★	★★	★★	★★★	★★	★★	★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★	★★★★

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Emera Inc EMA 20 Apr 2026 23:41, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★	★★	★★	★★	★★	★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★★	★★★★	★★★★	★★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★★	★★★★	★★★★	★★★★	★★★	★★★	★★★	★★	★★	★★★	★★★	★★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★★	★★★★	★★★	★★	★★★	★★★	★★	★★	★★★	★★★	★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★★

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Research Methodology for Valuing Companies

Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

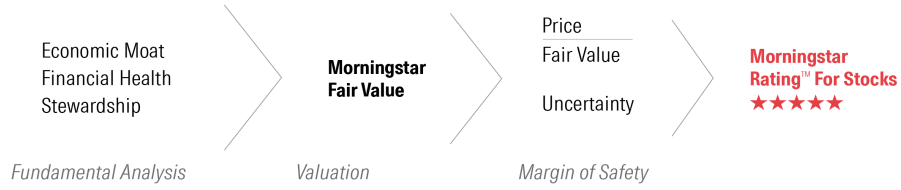
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

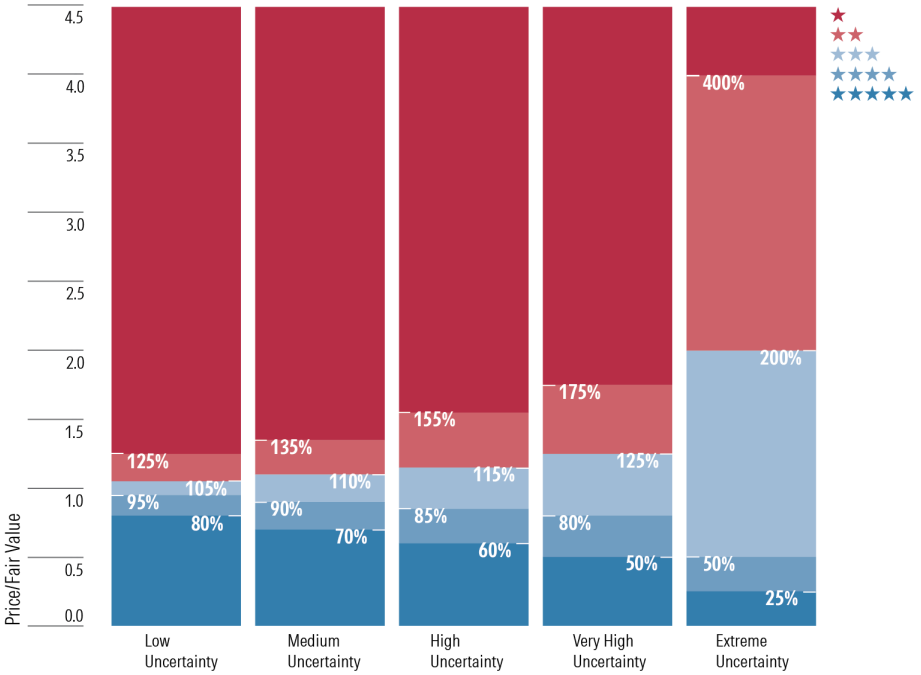
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

Please note that investments in securities are subject to market and other risks and there is no assurance or guarantee that the intended investment objectives will be achieved. Past performance of a security may or may not be sustained in future and is no indication of future performance. A security investment return and an investor's principal value will fluctuate so that, when redeemed, an investor's shares may be worth more or less than their original cost. A security's current investment performance may be lower or higher than the investment performance noted within the report. Morningstar's Uncertainty Rating serves as a useful data point with respect to sensitivity analysis of the assumptions used in our determining a fair value price.

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